1. Why Bitcoin Was Created

In **2008**, the global financial system nearly collapsed. Big banks gambled with people's money, and when it all went wrong, governments bailed them out with taxpayer funds — while ordinary people lost their savings.

A mysterious person (or group) called **Satoshi Nakamoto** responded by creating Bitcoin — a currency built on three core ideas:

- **No central authority** — no bank or government controls it.
- **Cryptography, not trust** — math verifies every transaction.
- **Peer-to-peer** — send money directly to anyone, no middleman needed.

2. The Birth of Bitcoin (2008 – 2009)

Just **46 days** after Lehman Brothers collapsed, Satoshi published the **Bitcoin Whitepaper** on October 31, 2008 — a detailed blueprint for how Bitcoin would work.

On **January 3, 2009**, Satoshi mined the very first block — called the **Genesis Block** — officially launching the Bitcoin network. Embedded inside it was a deliberate message:

"The Times 03/Jan/2009 — Chancellor on brink of second bailout for banks"

This was Satoshi's political statement — a direct challenge to the broken banking system Bitcoin was built to replace.

Date	Event
Oct 31, 2008	Bitcoin Whitepaper published by Satoshi Nakamoto
Jan 3, 2009	Genesis Block mined — Bitcoin network officially launches
Jan 12, 2009	First-ever Bitcoin transaction: Satoshi sends BTC to Hal Finney
May 22, 2010	Bitcoin Pizza Day — 10,000 BTC spent on two pizzas

3. Early Growth & The Cyprus Crisis (2011 – 2013)

Bitcoin started at **$0**. Then it grew — slowly at first, then explosively:

Period	Price (BTC)	What Drove It
2009	$0.00	Just launched — no market existed yet
Nov 2011	$2.51	Growing online curiosity and adoption
2012	$12.00	First halving event reduces new supply
Late 2013	~$988	Cyprus financial crisis + speculation surge

What is a Halving? Every ~4 years, the reward miners receive for creating new Bitcoin is cut in half. This limits the supply of new coins — just like gold becoming harder to mine — and historically pushes prices up.

The Cyprus Crisis (2013) was a major turning point. The Cypriot government literally seized 10–47% of citizens' bank savings to fund a bailout. People panicked and bought Bitcoin. Bloomberg called it *'the Global Economy's Last Safe Haven'* — and the world started paying serious attention.

4. Crash & Recovery (2014 – 2016)

Mt. Gox was the world's largest Bitcoin exchange. In 2014 it was hacked and shut down overnight. Hundreds of thousands of users instantly lost access to their funds, and Bitcoin's price crashed hard.

Yet Bitcoin survived. Long-term believers held on, and ongoing global uncertainty — including **Brexit in 2016** — kept reminding the world why a decentralised currency made sense.

5. The ICO Boom & Crypto Winter (2017 – 2018)

In **2017**, Bitcoin exploded from **$900 to $20,000** in a single year, driven by ICO (Initial Coin Offering) mania — thousands of new crypto projects all raising money at once. But most of it was pure hype with no real

product.

2017 — The Bull Run	2018 — The Crypto Winter
$900 → $20,000 in one year	Bitcoin lost 80% of its value
ICO frenzy — everyone piled in	Market lost $700 billion total
Mostly speculation, not real value	Regulators cracked down hard
'Get-rich-quick' mentality	Focus shifted to actually building (BUIDL)

6. The Comeback: Digital Gold (2019 – 2020)

By 2020, major corporations started buying and holding Bitcoin on their official balance sheets — a first in corporate history:

- **Square** (Jack Dorsey's company) announced holding 4,709 BTC.
- **Tesla** followed with an even larger purchase.

This changed the narrative completely. Bitcoin was no longer 'internet money for nerds' — it was now **Digital Gold**, trusted by billion-dollar companies. By end of 2020, Bitcoin closed above **$29,000** — surpassing its 2017 peak but this time backed by real institutional confidence, not speculation.

7. The Pattern That Keeps Repeating

Every time the traditional financial system fails, Bitcoin grows. This pattern has repeated itself throughout Bitcoin's entire history:

World Event	Effect on Bitcoin
2008 Global Banking Crisis	Bitcoin created as a direct response
2013 Cyprus Bank Seizures	Bitcoin labelled 'global safe haven' by media
2016 Brexit Referendum	Price rises as trust in governments falls
2020 COVID-19 Pandemic	Bitcoin climbs as people hedge against chaos
2020 Corporate Adoption	Bitcoin legitimised as a store of value

8. Key Terms — Simplified

Blockchain

A public, permanent record of every Bitcoin transaction ever made. Thousands of computers around the world maintain it — no single person controls it.

Mining

Using computer processing power to verify transactions and add them to the blockchain. Miners are rewarded with new Bitcoin for their work.

Halving

Every ~4 years, the Bitcoin mining reward is cut in half, reducing new supply. This scarcity historically drives prices higher over time.

HODL

Crypto slang for holding your Bitcoin long-term instead of selling during price dips. Originated from a misspelling of 'hold' in an early forum post.

Wallet

A digital address for storing your Bitcoin, secured by a private key. Lose your private key and you permanently lose access to your Bitcoin.

Satoshi

The smallest unit of Bitcoin — 0.00000001 BTC. Named after the creator Satoshi Nakamoto.

ICO

Initial Coin Offering — a way for new crypto projects to raise funds from the public, similar to a stock IPO but largely unregulated, especially during the 2017 boom.

BUIDL

A crypto community term meaning: focus on building real, useful products and technology instead of just speculating on prices.

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9. The Bottom Line

Bitcoin was born from a broken financial system and built to fix it. At its core it is designed to be:

- **Decentralised** — no single point of failure or control.
- **Scarce** — only 21 million BTC will ever exist, ever.
- **Transparent** — every transaction is publicly verifiable.
- **Borderless** — anyone, anywhere in the world can use it.

Its price is volatile in the short term, but historically it has always recovered and reached new highs over multi-year periods. Whether it's a currency, digital gold, or a full financial revolution depends on who you ask — but its impact on how the world thinks about money is undeniable.